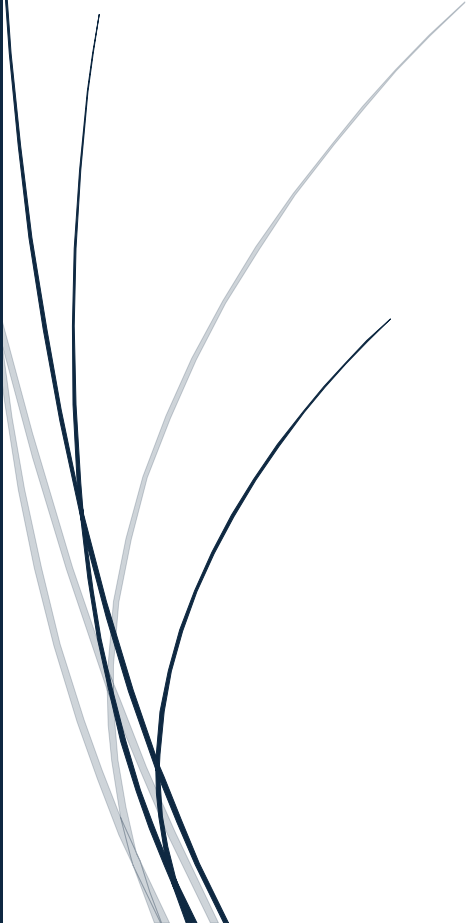




# Prepayment



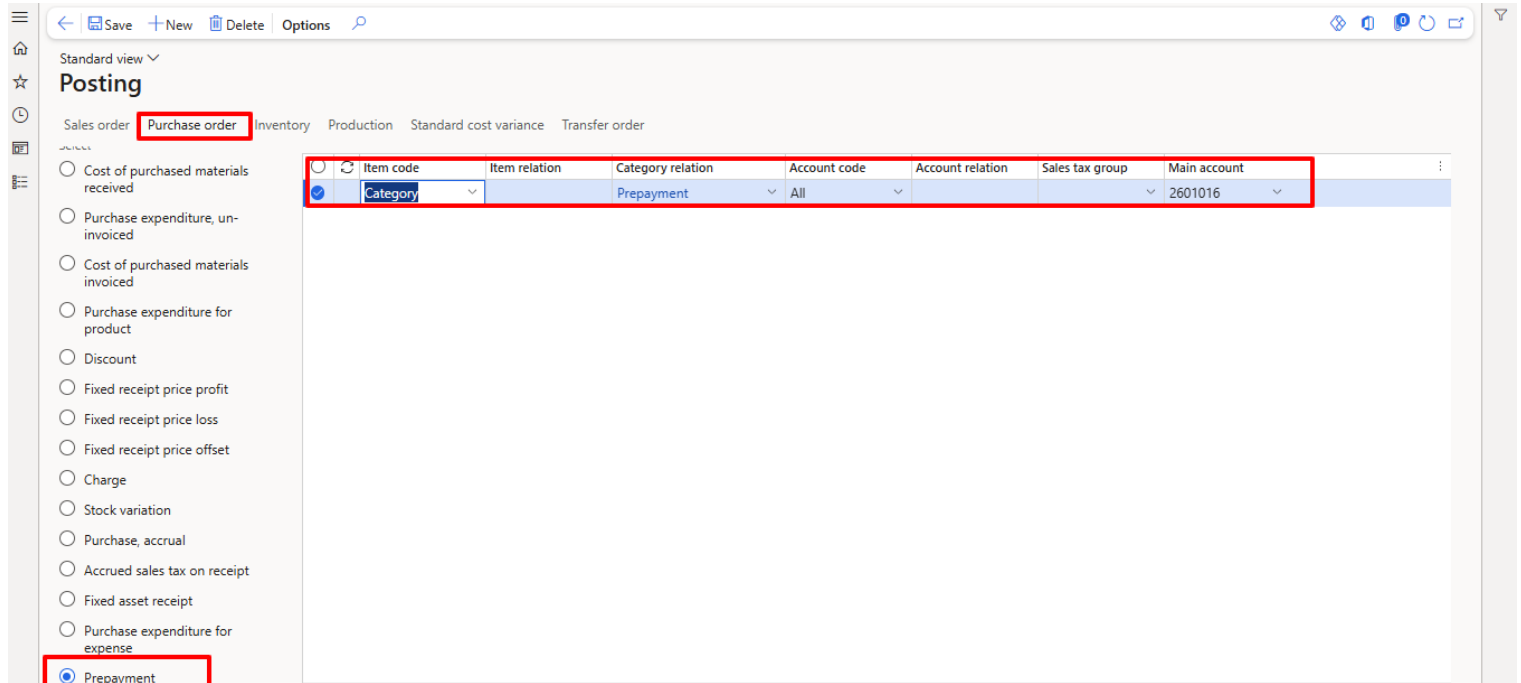
Prepared by  
MAYANK UPADHAYAY

## Contents

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## 1. PREREQUISITS

- A prepayment account must be defined on the **Purchase order** tab of the **Inventory posting page**. The prepayment account will be updated and **debited** when the prepayment invoice is posted
- Procurement category must need to be created.
- Prepayment will not be applied at the time of invoice when Payment schedule is set on vendor or PO.
- Go to Inventory management > Setup > Posting > Posting > Purchase Order



Standard view

**Posting**

Sales order **Purchase order** Inventory Production Standard cost variance Transfer order

☐ Cost of purchased materials received  
☐ Purchase expenditure, un-invoiced  
☐ Cost of purchased materials invoiced  
☐ Purchase expenditure for product  
☐ Discount  
☐ Fixed receipt price profit  
☐ Fixed receipt price loss  
☐ Fixed receipt price offset  
☐ Charge  
☐ Stock variation  
☐ Purchase, accrual  
☐ Accrued sales tax on receipt  
☐ Fixed asset receipt  
☐ Purchase expenditure for expense  
☒ Prepayment

| Item code | Item relation | Category relation | Account code | Account relation | Sales tax group | Main account |
|-----------|---------------|-------------------|--------------|------------------|-----------------|--------------|
| Category  |               | Prepayment        | All          |                  |                 | 2601016      |

- The offsetting summary accounts payable account is defined on the **Vendor posting** profile.
- To define the default posting a profile, click **Accounts payable > Setup > Accounts payable parameters > Ledger and sales tax tab > Prepayment invoice > Posting profile with prepayment vendor invoice**.

- There is option available for Prepayment auto applicability :-

**Notification-** A notification will be visible informing the Prepayment invoice is available when final invoice is created.

**Automatic-** the prepayment invoice will be automatically marked for settlement with the final invoice.

Standard view

Accounts payable parameters

General

Invoice

Invoice validation

Ledger and sales tax

Credit rating

Settlement

Broker and royalty

Electronic documents

Number sequences

Vendor invoice automation

PO/Invoice matching validation

ISPI

Set up tax options

Enter or view parameters for posting, promissory notes, payment proposals, prepayments, advances, and cash flow

Payment

Sales tax on prepayment in paym...  
☒ No

Posting profile for payment jour...

Warn if payment proposal uses ...  
☒ No

Disable payment ID validation  
☒ No

Prepayment invoice

Posting profile with prepayment ...

Prepayment application policy  

Notification

Cash flow forecast

Time between delivery date and i...

Terms of payment

Time between invoice due date a...

Liquidity account for payments

Percentage of amount to allocate...

Sales tax

Time of sales tax posting  

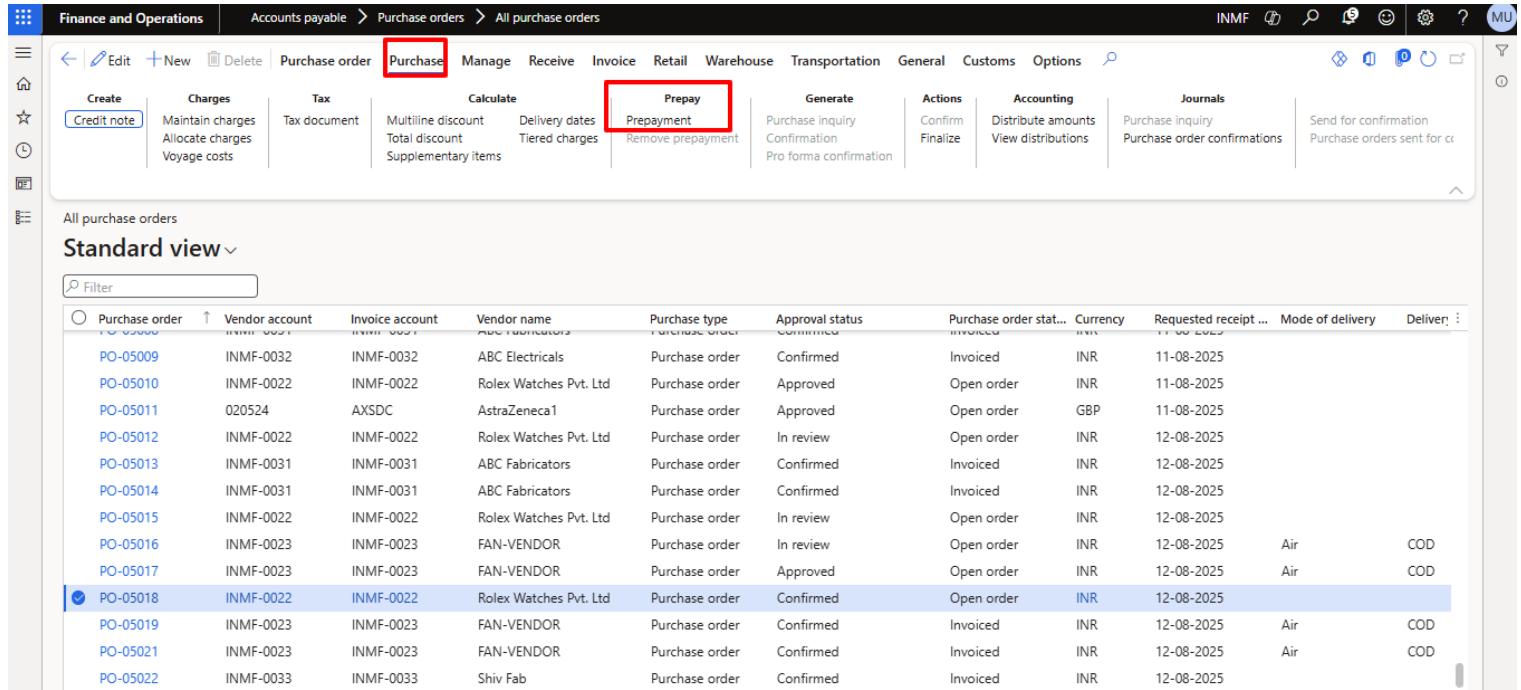
Invoice register

Keep sales tax adjustments for P...  
☒ No

Validate completeness of tax gro...  
☒ No

## 2. PREPAYMENT PROCESS

- Create Purchase order and enter the required details
- To Add Prepayment go to Accounts Payable > Purchase order > All Purchase order > Purchase > Prepay > Prepayment.



Finance and Operations | Accounts payable > Purchase orders > All purchase orders

INMF

Edit New Delete Purchase order **Purchase** Manage Receive Invoice Retail Warehouse Transportation General Customs Options

Create Charges Tax Calculate **Prepay** Generate Actions Accounting Journals

Credit note Maintain charges Allocate charges Voyage costs Tax document Multiline discount Total discount Supplementary items Delivery dates Tiered charges Remove prepayment Purchase inquiry Confirmation Pro forma confirmation Confirm Finalize Distribute amounts View distributions Purchase inquiry Purchase order confirmations Send for confirmation Purchase orders sent for confirmation

All purchase orders

Standard view

Filter

| Purchase order | Vendor account | Invoice account | Vendor name            | Purchase type  | Approval status | Purchase order status | Currency | Requested receipt date | Mode of delivery | Delivery status |
|----------------|----------------|-----------------|------------------------|----------------|-----------------|-----------------------|----------|------------------------|------------------|-----------------|
| PO-05009       | INMF-0032      | INMF-0032       | ABC Electricals        | Purchase order | Confirmed       | Invoiced              | INR      | 11-08-2025             |                  |                 |
| PO-05010       | INMF-0022      | INMF-0022       | Rolex Watches Pvt. Ltd | Purchase order | Approved        | Open order            | INR      | 11-08-2025             |                  |                 |
| PO-05011       | 020524         | AXSDC           | AstraZeneca1           | Purchase order | Approved        | Open order            | GBP      | 11-08-2025             |                  |                 |
| PO-05012       | INMF-0022      | INMF-0022       | Rolex Watches Pvt. Ltd | Purchase order | In review       | Open order            | INR      | 12-08-2025             |                  |                 |
| PO-05013       | INMF-0031      | INMF-0031       | ABC Fabricators        | Purchase order | Confirmed       | Invoiced              | INR      | 12-08-2025             |                  |                 |
| PO-05014       | INMF-0031      | INMF-0031       | ABC Fabricators        | Purchase order | Confirmed       | Invoiced              | INR      | 12-08-2025             |                  |                 |
| PO-05015       | INMF-0022      | INMF-0022       | Rolex Watches Pvt. Ltd | Purchase order | In review       | Open order            | INR      | 12-08-2025             |                  |                 |
| PO-05016       | INMF-0023      | INMF-0023       | FAN-VENDOR             | Purchase order | In review       | Open order            | INR      | 12-08-2025             | Air              | COD             |
| PO-05017       | INMF-0023      | INMF-0023       | FAN-VENDOR             | Purchase order | Approved        | Open order            | INR      | 12-08-2025             | Air              | COD             |
| PO-05018       | INMF-0022      | INMF-0022       | Rolex Watches Pvt. Ltd | Purchase order | Confirmed       | Open order            | INR      | 12-08-2025             |                  |                 |
| PO-05019       | INMF-0023      | INMF-0023       | FAN-VENDOR             | Purchase order | Confirmed       | Invoiced              | INR      | 12-08-2025             | Air              | COD             |
| PO-05021       | INMF-0023      | INMF-0023       | FAN-VENDOR             | Purchase order | Confirmed       | Invoiced              | INR      | 12-08-2025             | Air              | COD             |
| PO-05022       | INMF-0033      | INMF-0033       | Shiv Fab               | Purchase order | Confirmed       | Invoiced              | INR      | 12-08-2025             |                  |                 |

- Enter Either Fixed amount or Percentage of total net amount
- **Type:-** Specifies whether the prepayment is a Fixed amount or a Percentage of the total invoice. This affects how the system calculates the prepayment value.
- **Value:-** The actual amount or percentage (based on the selected type) of the prepayment.  
Example: ₹5,000.00.
- **Limit:-** Same as value, the system will restrict it to this limit.
- **Prepayment Remaining:-** Prepayment which is not yet invoiced let say total required prepayment is 5000 and company had raised 3000 as prepayment invoice then remaining 2000 will be visible in Prepayment remaining field.
- **Prepayment application remaining:-** Prepayment invoices which has been paid but not used is visible in the field.

Finance and Operations

Search for a page

Save + New Delete Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Customs Options

Create Charges Tax Calculate Prepay Generate Actions Accounting

Credit note Maintain charges Tax document Multiline discount Delivery dates Prepayment Purchase inquiry Confirm Distribute amounts Purchase invoice Purchase order Allocate charges Total discount Tiered charges Remove prepayment Confirmation View distributions

Supplementary items Pro forma confirmation

All purchase orders | Standard view

**INMF-001489 : INMF-000020 - Sunrise Traders**

Lines Header

Purchase order lines

|       | Colour | CW quantity | CW unit | Quantity  | Unit | Unit price | Adjusted u... | Discount | Discount p... | Net amount  | Adjusted n... | Quality order sta |
|-------|--------|-------------|---------|-----------|------|------------|---------------|----------|---------------|-------------|---------------|-------------------|
| 10.00 | kg     |             |         | 10,000.00 |      | 0.00000    |               |          |               | 1,00,000.00 | 0.00          |                   |

Line details

General Sales Address Product Delivery Billing Price and discount Product Product exchange Units and exchange rates Exchange rates Fiscal year Fiscal dimensions Location

Standard view

**Create or edit a prepayment**

Description: 5 % Advance

Type: ☒ Fixed ☐ Percent

Value: 5,000.00

Limit: 5,000.00

Prepayment remaining: 2,000.00

Prepayment application remaining: 0.00

Currency: INR

Prepayment category ID: Prepayment

Save Cancel

- Create Prepayment invoice Go to Purchase order > Invoice > Prepayment Invoice
- Click on the prepayment invoice to generate an invoice.

Save + New Delete Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Options

Generate Bill Settle Journals

Invoice Payment schedule Open transactions Invoice

Pro forma invoice Cash flow forecasts Pending invoices

Prepayment invoice

All purchase orders | Standard view

**PO24020000407 : V000045 - World Wide Web Trading L.L.C**

Lines Header Open order Confirmed

**DELIVERY**

Delivery date: 7/30/2022

Earliest confirmed delivery:

**DISCOUNTS**

Total discount %: 0.00

**VENDOR**

Contact:

**REPLENISHMENT**

Service category:

Location:

**CROSS DOCKING DATES**

Delivery date: 7/30/2022

Cross docking date:

Local delivery date:

Sales date:

Emergency PO: ☒ No

**PRODUCT/ORDER CREATION**

Auto created: ☒ No

Origin: Purchase

Vendor Deliver From Address:

Purchase order lines

|        | Quantity | Unit | Unit price | Unit price & dec | Adjusted unit ... | Discount | Discount perce... | Net amount | Commodity | Type of savings |
|--------|----------|------|------------|------------------|-------------------|----------|-------------------|------------|-----------|-----------------|
| 100.00 | EA       |      | 1,000.00   |                  | 0.000000          |          |                   | 100,000.00 |           |                 |

- Post the invoice. To check the voucher, click on Invoice under the Invoice Tab.

View subledger journal Transaction origin Transactions Audit trail Edit voucher ▾ Posted tax Tax document Posted withholding tax Original document 🔍 ...

Voucher transactions | Prepayment Invoice : INMF-000020

**Standard view** ▾

Overview General

|  | Voucher     | Date      | ↑ | Year closed | Ledger account | Account name                | Description    | Currency | Amount in... | Amount   | Posting type   |
|--|-------------|-----------|---|-------------|----------------|-----------------------------|----------------|----------|--------------|----------|----------------|
|  | INMF-140045 | 8/13/2... |   |             | 132101-----    | Vendor Prepayment           | Vendor invoice | INR      | 3,000.00     | 3,000.00 | Prepayment     |
|  | INMF-140045 | 8/13/2... |   |             | 200100-----    | Accounts Payable - Domestic | Vendor invoice | INR      | -3,000.00    | 3,000.00 | Vendor balance |

- Now create a payment journal and settle the invoice like a normal invoice for that go to :-Accounts payable > Payment > Vendor Payment journal > mark the prepayment invoice for payment..
- Validate and simulate
- Post

Operation completed

Save Post Post in batch Validate ▾ Payment proposal ▾ Generate payments Withholding tax ▾ Functions ▾ Inquiries ▾ Print ▾ Deferment schedule 🔍 ...

Vendor payments | INMF-00789 : VendPay

**Standard view** ▾

List General Payment Payment fee Remittance Bank History Postdated cheques

+ New Delete Settle transactions Financial dimensions ▾ Tax document Payment status ▾ Voucher View marked transactions Tax information

|  | Date      | Voucher   | Company | Account     | Vendor name     | Description | Debit    | Credit | Currency | Bank account | Offset acco... | Offset account | Method o... | Payi |
|--|-----------|-----------|---------|-------------|-----------------|-------------|----------|--------|----------|--------------|----------------|----------------|-------------|------|
|  | 8/13/2025 | INMF-0483 | INMF    | INMF-000020 | Sunrise Traders |             | 3,000.00 |        | INR      |              | Bank           | IND OPER       | EP          | None |

### 3. APPLY PREPAYMENT ON PURCHASE ORDER INVOICE

- After generating invoice Apply the prepayment to the invoice. Go to Accounts payable > All Purchase order > Invoice > Generate > Invoice > Vendor Invoice > Apply prepayment
- New form open where select the prepayment and click on Apply
- Additionally system will show the warning message , if any prepayment for this po is pending.
- Then post the invoice
- Validate the voucher

Finance and Operations

Search for a page

INMF

One or more pending invoices have unapplied paid prepayment invoices available to apply. Use the Apply Prepayment form to apply prepayment values to the selected invoice.

Vendor invoice

Actions

Apply prepayment

Open lines in Excel

Vendor invoice | Standard view

Sunrise Traders

Lines Header

Vendor invoice header

VENDOR

Company

INMF

Invoice account

INMF-000020

Sunrise Traders

INVOICE IDENTIFICATION

Number

Invoice description

RELATED DOCUMENTS

Purchase order

INMF-001489

Product receipt

Preoes

Purchase agreement

INVOICE DATES

Invoice received date

8/13/2025

Invoice date

9/10/2025

Date of vendor VAT register

Posting date

8/13/2025

Due date

9/10/2025

INVOICE STATUS DETAILS

Consignment note number

On hold

No

Header budget check results

Budget check not performed

Allow matched invoice line quant...

No

Save

Apply prepayment

Cancel

Options

INV-TEST1 : WORLD WIDE WEB TRADING LLC | Standard view

Apply prepayment

Purchase order

PO24020000407

Invoice number

INV-TEST1

Invoice date

7/30/2022

Invoice amount

100,000.00

Available application amount

25,000.00

Voucher number

Total application amount

25,000.00

Select prepayments to apply

| Select                              | Purchase order | Invoice  | Invoice date | Voucher     | Prepayment a... | Prepayment a... | Amount to ap... | Applied to unp... |
|-------------------------------------|----------------|----------|--------------|-------------|-----------------|-----------------|-----------------|-------------------|
| <input checked="" type="checkbox"/> | PO24020000407  | PreInv-1 | 7/30/2022    | 2402-140000 | 25,000.00       | 0.00            | 25,000.00       | 25,000.00         |



Finance and Operations

Search for a page

INMF

View subledger journal Transaction origin Transactions Audit trail Edit voucher Posted tax Posted withholding tax Original document Accounting source explorer

Voucher transactions | 298400jdfiew : INMF-000020

**Standard view**

Overview General

| Journal number | Voucher        | Date      | Year closed | Ledger account | Account name                    | Description    | Currency | Amount in...         | Amount | Posting type                         |
|----------------|----------------|-----------|-------------|----------------|---------------------------------|----------------|----------|----------------------|--------|--------------------------------------|
| INMF-002749    | Item-00086     | 8/14/2... |             | 500615-----    | Purchase Expenditure for Pr...  |                | INR      | 10,000.00 10,000...  |        | Cost of purchased materials invoiced |
| INMF-002749    | Item-00086     | 8/14/2... |             | 500615-----    | Purchase Expenditure for Pr...  |                | INR      | -10,000.00 10,000.00 |        | Purchase expenditure for product     |
| INMF-002749    | Item-00086     | 8/14/2... |             | 142100-----    | Inventory Clearing - Receive... |                | INR      | -10,000.00 10,000.00 |        | Cost of purchased materials received |
| INMF-002749    | Item-00086     | 8/14/2... |             | 200125-----    | Accounts Payable - Uninvoic...  |                | INR      | 10,000.00 10,000...  |        | Purchase expenditure, un-invoiced    |
| INMF-002759    | INMF-110000224 | 8/14/2... |             | 200190-----    | Accrued Purchases               | Vendor invoice | INR      | 10,000.00 10,000...  |        | Purchase, accrual                    |
| INMF-002759    | INMF-110000224 | 8/14/2... |             | 200125-----    | Accounts Payable - Uninvoic...  | Vendor invoice | INR      | -10,000.00 10,000.00 |        | Purchase expenditure, un-invoiced    |
| INMF-002760    | INMF-110000224 | 8/14/2... |             | 500615-----    | Purchase Expenditure for Pr...  | Vendor invoice | INR      | 10,000.00 10,000...  |        | Purchase expenditure for product     |
| INMF-002760    | INMF-110000224 | 8/14/2... |             | 131130-----    | IGST recoverable                | Vendor invoice | INR      | 1,800.00 1,800.00    |        | India GST                            |
| INMF-002760    | INMF-110000224 | 8/14/2... |             | 200100-----    | Accounts Payable - Domestic     | Vendor invoice | INR      | -11,800.00 11,800.00 |        | Vendor balance                       |
| INMF-002761    | INMF-150005    | 8/14/2... |             | 132101-----    | Vendor Prepayment               | Vendor invoice | INR      | -2,000.00 2,000.00   |        | Prepayment application               |
| INMF-002761    | INMF-150005    | 8/14/2... |             | 200100-----    | Accounts Payable - Domestic     | Vendor invoice | INR      | 2,000.00 2,000.00    |        | Vendor balance                       |

- Note: - Without payment of prepayment invoice, it will not be visible in invoice to settle the prepayment in invoice.
- Voucher Impact: - Once the prepayment invoice is posted  
 Prepayment account Dr.....XXXXX  
 To Vendor's Account.....XXXXX
- Once invoice is posted  
 All the regular entry remains same only prepayment invoice voucher get reversed.
- Final impact on vendor balance, Let's take an example.  
 Prepayment amount was – Rs 5000  
 Now I have posted invoice of value- Rs 11800(same amount will be visible as invoice amount).  
 Prepayment impact will only be visible in remaining vendor balance as Rs 6800(11800-5000)



Thank  
You